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Early hopes quickly dashed

Post-attack demand for conferencing and hosting services may be fleeting

by VINCENT RYAN

NEON Communications, an upstart Northeast fiber carrier, has had a busy two weeks following the terrorist attacks of Sept. 11. Its technicians have set up an OC-12 at 60 Hudson St. to bring dial-tone service to New York's City Hall and are field testing a wireless optics device to connect a New York health services building to its POP. A clear case of the recent terrorist disaster boosting sales in the beleaguered telecom sector? Not quite.

Admirably, NEON did the work pro bono, so the benefit to its revenue line will be zero. "We're not charging for the services we're providing," said Ron Steele, NEON's vice president of finance and chief technology officer. But "I would expect somebody along the way will remember we were there to help out."

The hope sustaining any hint of optimism in telecom—particularly among wireless, hosted services and videoconferencing companies—is that in the wake of last week's horror some economic good can be salvaged.

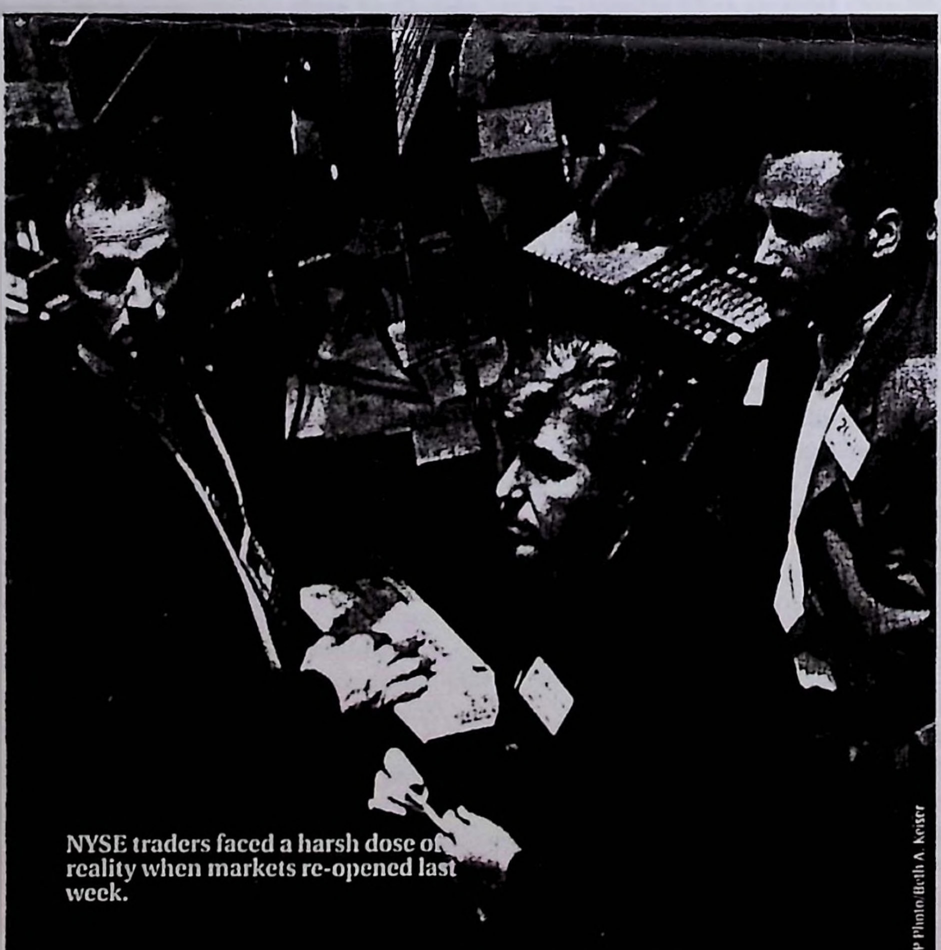
The financial markets are not cooperating, however. Fear and uncertainty clung to investors last week as the Dow and Nasdaq wiped out more than $1 trillion of market value. Indeed, telecom stocks are so devalued—the Nasdaq Telecommunications Index is at its lowest level since April 1997—they may be hitting a sustainable floor. Ironically, wireless service providers' and incumbent carriers' securities sailed through last week's storm relatively unscathed

"Our [telecom] world has been so depressed and beat up that the impact from these [terrorism] events is going to be negligible," said Edward Jackson, senior analyst for U.S. Bancorp Piper Jaffray. "When you have companies trading at 1 to 1.5 times tangible book, they're not trading on their income statement anyway."

However, telecom is not immune to economic cycles. Nothing on the horizon is likely to ameliorate the somber mood of investors, so the sharp V-shaped downturn economists are predicting could dampen consumer and business spending past 2002.

Short-term, economic indicators released in the next few weeks could wipe more market capitalization off the books in part because they will be "contaminated" by the interruption in business that occurred after the terrorist attacks, said Ed McKelvey, senior economist for Goldman Sachs. "Most indicators will get disrupted—it's a done deal that industrial production is down for September," McKelvey said. Any possibility of positive indicators won't occur until November when October data is released, he added.

The transactional lull could hurt telecom's traditionally backend-loaded third quarter, causing equipment vendors to miss already-reduced earnings forecasts, Jackson said. More lasting effects loom for companies seeking capital. Although the low interest rate environment created by the Federal Reserve will push some telecom-focused capital into the market, the addition will be incremental, Hodel said. For example, Allegiance Telecom last week tapped $350 million of an existing $500 million credit facility at a low interest rate.



NYSE traders faced a harsh dose of reality when markets re-opened last week.

AP Photo/Beth A. Keiser

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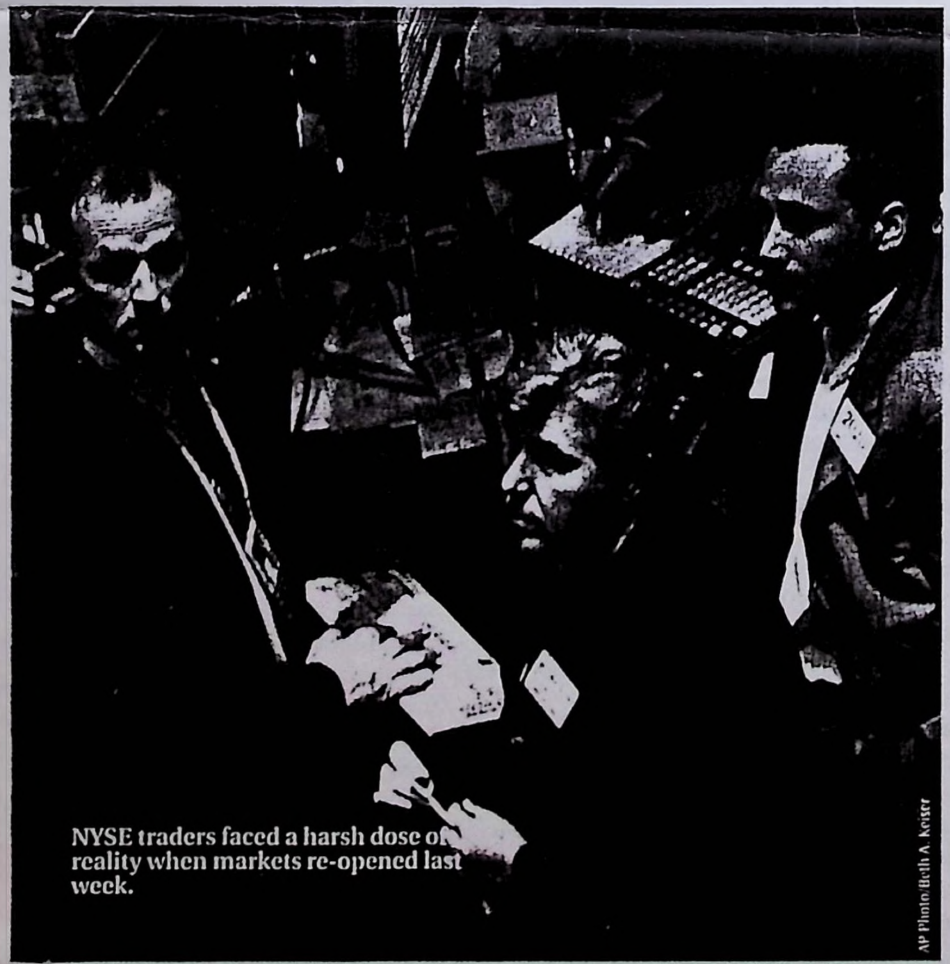

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AP Photo/Beth A. Keiser

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Becky Replogle-Wilkes, director of collaborative applications marketing for Sprint, agrees. "You decide that you no longer want to drive across town because [audio] conferencing is a much more effective use of time," she said.

It's also an effective use of money compared with the alternative. Peter Kastner, chief research officer for Aberdeen Group, said, "It costs about $30 an hour for full-motion video. That's dirt cheap compared with a coast-to-coast flight."

Changing the communications habits of businesses won't be easy, according to Christine Hartman, research director of voice-over-packet markets for Probe Research. But if system and service providers succeed, they might have the incentive to take conferencing to the next level: combining voice with data over the Web.

"You could put a presentation on the Web and use a second line to access it," she said.

Sept. 11's events also may foster growth in hosted services such as disaster recovery, e-mail management, voice mail management, content management and Web hosting. The uptick for the ailing hosting industry will come from companies concerned about protecting data beyond one location.

"We have definitely seen reaction [to the events]," said Jay Adelson, founder and chief technology officer for Equinix, which operates neutral Internet exchanges. Companies "need to look at their network and server architectures and find ways to create redundancies."

To create that, multiple locations may be integral for mission-critical data. No single building can be disaster proof, Adelson said. "You have to be geographically diverse and go to two IBXs, for example."

The attacks have put disaster recovery at the forefront of companies' minds, according to Jason Schaffer, vice president of marketing for storage service provider StorageWay. "But in the long term, things will get back to normal business activities." Others seem to agree that despite optimism that the horrific events may invigorate some sectors, it isn't likely.

"We can make some assumptions that we will see an increase in hosting, especially anyone that ran Web sites that became overloaded like the news sites," said Jeff Phillips, director of consulting for Telechoice. "But the AT&T and WorldCom frame relay network outages were a hot topic, too," he said, noting that interest faded quickly with those events.

And companies may not necessarily go to a third party to do it, said Melanie Posey, an analyst with IDC.

"I'm not sure there are any new business opportunities for these companies," Posey said. "There have been a lot of gross press releases from hosting companies [expecting] to profit from the attacks."

Kevin Maroni, managing general partner of Spectrum Equity Investors, said he can't imagine any business his firm invests in benefiting from the Sept. 11 tragedy or the ensuing military conflict. "I can see why a lot of people want to say there will be a pickup in telecom spending, but I think it's a stretch." ■

Glenn Bischoff and Liane LaBarba contributed to this report.

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XO, McLeodUSA downgraded. A battered stock market puts the squeeze on carriers with funding shortfalls

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NextWave reportedly will sell spectrum

by GLENN BISCHOFF *and* DONNY JACKSON

U.S. wireless carriers finally may secure the PCS spectrum they won in January's $17 billion auction as NextWave Telecom reportedly reached a tentative agreement with federal regulators to sell its claims to the spectrum for $5.8 billion.

If executed, the unprecedented deal would give NextWave investors an immediate return on their investment and let January auction winners proceed with plans to expand their networks. While the government would realize about 60% of the revenues expected from the January auction, it still would get $10 billion—more than double what NextWave would have paid for the spectrum if the appeals court ruling was upheld by the Supreme Court.

NextWave President and CEO Allan Salmasi told ***Telephony*** in July that the company would not sell its spectrum rights, but critics questioned its resale-oriented business plan in a slowing economy. With many believing the U.S. is embarking on a recession after the recent terrorist attacks, the idea of a quick payoff via a settlement might be especially appealing to investors.

Though NextWave representatives were unavailable for comment, the company released a vague statement that it would "explore ideas that might lead to a consensual resolution." The reported deal would realize this goal, according to Eugene Signorini, wireless analyst for The Yankee Group.

"It's a good deal for everyone. NextWave is able to get out of this thing with some money, the existing wireless operators are able to retain the spectrum they had planned on receiving, and the FCC is able to bring to an end a saga that has been an embarrassment." ■